



Top 50 MCQs for

**ECONOMIC
SURVEY**

2025-26



Q1. As per Economic Survey 2025–26, the First Advance Estimates place India's real GDP growth for FY26 at what percentage?

- (a) 6.8%
- (b) 7.0%
- (c) 7.2%
- (d) 7.4%
- (e) 7.6%

Correct Answer: (d)

Explanation:

The Economic Survey estimates real GDP growth for FY26 at 7.4%, based on First Advance Estimates, driven largely by a structural shift in private consumption.

Q2. As per Economic Survey 2025–26, the Central Government has announced a new medium-term fiscal anchor. What is the target for the Central Government Debt-to-GDP ratio?

- (a) 40% by FY30
- (b) 45% by FY28
- (c) 50% $\pm$ 1% by FY31
- (d) 60% by FY31
- (e) 55% $\pm$ 1% by FY30

Correct Answer: (c)

Explanation:

The Survey outlines a new fiscal trajectory targeting a Central Government Debt-to-GDP ratio of 50% $\pm$ 1% by FY31.

Q3. As per Economic Survey 2025–26, what is the budgeted target for the Fiscal Deficit as a percentage of GDP for FY26?

- (a) 4.9%
- (b) 4.8%
- (c) 4.5%
- (d) 4.4%
- (e) 4.1%

Correct Answer: (d)

Explanation:

The Fiscal Deficit for FY26 is budgeted at 4.4% of GDP, following consolidation in FY25 where provisional figures stood at 4.8%.

Q4. As per Economic Survey 2025–26, the share of Private Final Consumption Expenditure (PFCE) in GDP has risen to its highest level since FY12. What is this share in FY26?

- (a) 58.6%
- (b) 59.3%
- (c) 60.1%
- (d) 61.5%
- (e) 62.2%

Correct Answer: (d)

Explanation:

Private consumption has emerged as the anchor of growth, with PFCE rising to 61.5% of GDP in FY26.

Q5. As per Economic Survey 2025–26, the “Effective Capital Expenditure” of the Central Government rose to what percentage of GDP in FY25 (Provisional Actuals)?

- (a) 2.9%
- (b) 3.3%
- (c) 3.8%
- (d) 4.0%
- (e) 4.5%

Correct Answer: (d)

Explanation:

Effective Capital Expenditure increased sharply to 4.0% of GDP in FY25, compared to 2.6% in the pre-pandemic period.

Q6. As per Economic Survey 2025–26, what is the projected range for India’s real GDP growth for FY27?

- (a) 6.0% – 6.8%
- (b) 6.5% – 7.0%
- (c) 6.8% – 7.2%
- (d) 7.0% – 7.5%
- (e) 7.2% – 7.8%

Correct Answer: (c)

Explanation:

The Survey projects India’s real GDP growth for FY27 in the range of 6.8% to 7.2%.

Q7. As per Economic Survey 2025–26, India’s medium-term potential growth rate has been structurally re-rated upwards. What is the new estimated potential growth rate?

- (a) 6.0%
- (b) 6.5%
- (c) 7.0%
- (d) 7.5%
- (e) 8.0%

Correct Answer: (c)

Explanation:

Due to structural reforms such as GST 2.0 and the Insolvency and Bankruptcy Code, India’s potential growth rate has been revised upward to 7.0%.

Q8. As per Economic Survey 2025–26, the SASCI scheme successfully incentivised States to maintain their capital expenditure at what level of GDP?

- (a) 1.5%
- (b) 2.0%

(c) 2.4%

(d) 3.0%

(e) 3.2%

Correct Answer: (c)

Explanation:

The Special Assistance to States for Capital Investment (SASCI) helped States sustain capital expenditure at 2.4% of GDP.

Q9. As per Economic Survey 2025–26, the document warns against a type of state-level expenditure termed “UCTs”. What does UCT stand for?

(a) Unified Capital Transfers

(b) Unconditional Cash Transfers

(c) Universal Credit Targets

(d) Urban Consumption Taxes

(e) Unplanned Current Transfers

Correct Answer: (b)

Explanation:

UCTs refer to Unconditional Cash Transfers, which the Survey critiques for creating expenditure rigidity and crowding out developmental spending.

Q10. As per Economic Survey 2025–26, which forecasting model using 17 high-frequency indicators was validated for accurately predicting near-term GDP growth?

(a) Vector Autoregression Model

(b) Dynamic Factor Model

(c) Stochastic Frontier Model

(d) Input–Output Model

(e) Computable General Equilibrium Model

Correct Answer: (b)

Explanation:

The Survey validates the use of a Dynamic Factor Model, which aggregates signals from 17 indicators such as IIP, GST collections, and UPI transactions for GDP nowcasting.

Q11. As per Economic Survey 2025–26, the Repo Rate stood at what level as of December 2025?

(a) 6.50%

(b) 6.00%

(c) 5.75%

(d) 5.25%

(e) 4.90%

Correct Answer: (d)

Explanation:

Following a cumulative reduction of 125 basis points, the Repo Rate stood at 5.25% as of December 2025.

Q12. As per Economic Survey 2025–26, headline Core Inflation remained sticky at 4.6%. However, excluding which two commodities does the “Adjusted Core Inflation” drop to 2.3%?

- (a) Petrol and Diesel
- (b) Gold and Silver
- (c) Housing and Clothing
- (d) Milk and Cereals
- (e) Iron and Steel

Correct Answer: (b)

Explanation:

The Survey notes that stickiness in core inflation is driven by imported asset prices, especially Gold and Silver. Excluding them, adjusted core inflation falls to 2.3%.

Q13. As per Economic Survey 2025–26, what was the level of India’s Forex Reserves as of January 16, 2026?

- (a) USD 645.2 billion
- (b) USD 688.0 billion
- (c) USD 701.4 billion
- (d) USD 720.5 billion
- (e) USD 750.0 billion

Correct Answer: (c)

Explanation:

India’s foreign exchange reserves reached a historic high of USD 701.4 billion as of mid-January 2026.

Q14. As per Economic Survey 2025–26, the Services Surplus in FY25 was approximately USD 188.8 billion. This surplus financed what proportion of the merchandise trade deficit?

- (a) One-half (50%)
- (b) One-third (33%)
- (c) Two-thirds (66%)
- (d) Three-fourths (75%)
- (e) Fully (100%)

Correct Answer: (c)

Explanation:

The strong services surplus financed nearly two-thirds of the merchandise trade deficit, supporting external sector stability.

Q15. As per Economic Survey 2025–26, the Cash Reserve Ratio (CRR) was reduced by 100 basis points to what level to inject liquidity?

- (a) 4.5%
- (b) 4.0%
- (c) 3.5%
- (d) 3.0%
- (e) 2.5%

Correct Answer: (d)

Explanation:

The RBI reduced the CRR to 3.0%, injecting about ₹2.5 lakh crore of primary liquidity into the banking system.

Q16. As per Economic Survey 2025–26, Gross Non-Performing Assets (GNPA) of Scheduled Commercial Banks declined to a multi-decade low of ____ as of September 2025.

- (a) 3.9%
- (b) 3.2%
- (c) 2.8%
- (d) 2.2%
- (e) 1.8%

Correct Answer: (d)

Explanation:

Improved asset quality led to the GNPA ratio declining to 2.2%, the lowest in several decades.

Q17. As per Economic Survey 2025–26, under the National Mission on Manufacturing (NMM), the government aims to increase the share of manufacturing in GDP to 25% by which year?

- (a) 2030
- (b) 2032
- (c) 2035
- (d) 2040
- (e) 2047

Correct Answer: (c)

Explanation:

The NMM targets increasing manufacturing's share to 25% of GDP by 2035, along with creating 143 million jobs.

Q18. As per Economic Survey 2025–26, India's rank in the Global Innovation Index (GII) 2025 improved to:

- (a) 42nd
- (b) 40th
- (c) 38th
- (d) 35th
- (e) 30th

Correct Answer: (c)

Explanation:

India improved its ranking to 38th position in the Global Innovation Index 2025.

Q19. As per Economic Survey 2025–26, the United States imposed “Reciprocal Tariffs” of what percentage on Indian goods in 2025?

- (a) 10%
- (b) 15%
- (c) 20%
- (d) 25%
- (e) 50%

Correct Answer: (d)

Explanation:

The Survey highlights that the US imposed a 25% reciprocal tariff (along with an additional penal tariff) on Indian goods.

Q20. As per Economic Survey 2025–26, which of the following best describes India's Net International Investment Position (NIIP)?

- (a) India is a net creditor
- (b) India is the 5th largest debtor globally
- (c) India is the 11th largest debtor globally
- (d) India has a balanced NIIP (Zero)
- (e) India is the largest debtor in Asia

Correct Answer: (c)

Explanation:

India's NIIP shows that it is the 11th largest debtor globally, with a negative NIIP of about USD 0.3 trillion.

Q21. As per Economic Survey 2025–26, the growth rate of the Agriculture sector for FY26 is estimated at:

- (a) 2.5%
- (b) 3.1%
- (c) 3.8%
- (d) 4.2%
- (e) 1.8%

Correct Answer: (b)

Explanation:

The Economic Survey estimates agricultural sector growth at 3.1% in FY26, indicating recovery after volatility in the previous year.

Q22. As per Economic Survey 2025–26, what percentage of railway tracks have been upgraded to support speeds of 110 kmph or higher?

- (a) 55%
- (b) 60%
- (c) 68%
- (d) 78%
- (e) 85%

Correct Answer: (d)

Explanation:

Railway modernisation efforts have resulted in 78% of tracks being upgraded to support speeds of 110 kmph and above.

Q23. As per Economic Survey 2025–26, the number of operational airports in India doubled to ____ in 2025.

- (a) 120
- (b) 148
- (c) 164
- (d) 180
- (e) 200

Correct Answer: (c)

Explanation:

India's aviation infrastructure expanded rapidly, with the number of operational airports increasing to 164 in 2025.

Q24. As per Economic Survey 2025–26, which new legislation replaced the SEBI Act, SCRA, and Depositories Act to unify financial market laws?

- (a) Financial Markets Regulation Act, 2025
- (b) Securities Markets Code, 2025
- (c) Indian Financial Code, 2025
- (d) Capital Markets Unity Act, 2025
- (e) Integrated Securities Act, 2025

Correct Answer: (b)

Explanation:

The Securities Markets Code, 2025 was introduced to consolidate and replace multiple existing securities laws.

Q25. As per Economic Survey 2025–26, what is the “Paradox of 2025” mentioned in the document?

- (a) High inflation amidst low growth
- (b) Rising unemployment despite high GDP
- (c) Strong domestic macro performance amidst a hostile global environment
- (d) Falling exports despite currency depreciation
- (e) Rising fiscal deficit despite high tax buoyancy

Correct Answer: (c)

Explanation:

The paradox refers to India achieving strong macroeconomic outcomes despite a hostile global environment marked by trade tensions and capital outflows.

Q26. As per Economic Survey 2025–26, India ranks 2nd globally in “AI Skill Penetration” with a score of 2.5. Which country is ranked 1st?

- (a) China
- (b) United Kingdom

- (c) USA
 - (d) Germany
 - (e) Singapore
- Correct Answer: (c)

Explanation:

India ranks just behind the USA, which holds the top position in AI skill penetration with a score of 2.6.

Q27. As per Economic Survey 2025–26, the “SASCI” scheme is related to:

- (a) Subsidising agricultural inputs for small farmers
- (b) Special assistance to Startups for AI innovation
- (c) Special assistance to States for Capital Investment
- (d) Social assistance for Scheduled Castes insurance
- (e) Solar energy assistance for cottage industries

Correct Answer: (c)

Explanation:

SASCI stands for Special Assistance to States for Capital Investment, aimed at incentivising state-level capital expenditure.

Q28. As per Economic Survey 2025–26, the term “Lakhpati Didi” refers to a target of creating 3 crore women who:

- (a) Own land worth ₹1 lakh
- (b) Have a bank deposit of ₹1 lakh
- (c) Earn at least ₹1 lakh annually through SHGs
- (d) Receive a government grant of ₹1 lakh
- (e) Have an insurance cover of ₹1 lakh

Correct Answer: (c)

Explanation:

“Lakhpati Didi” aims to create 3 crore women Self Help Group members earning at least ₹1 lakh per year.

Q29. As per Economic Survey 2025–26, the “SHANTI Act” is a proposed framework to liberalise which sector?

- (a) Defence Manufacturing
- (b) Space Technology
- (c) Nuclear Energy
- (d) Deep Sea Mining
- (e) Ayush Medicine

Correct Answer: (c)

Explanation:

The SHANTI Act is proposed to liberalise nuclear energy generation, allowing private sector participation.

Q30. As per Economic Survey 2025–26, the “VB-G RAM G Act” is intended to replace which existing flagship scheme?

- (a) PM-KISAN
- (b) PMAY (Gramin)
- (c) MGNREGA
- (d) Ayushman Bharat
- (e) NRLM

Correct Answer: (c)

Explanation:

The VB-G RAM G Act (Viksit Bharat – Guarantee for Rozgar and Aajeevika Mission) is proposed to replace MGNREGA, shifting focus towards asset creation.

Q31. As per Economic Survey 2025–26, while Census 2011 estimates India’s urban population at 31%, alternative estimates using the DEGURBA methodology suggest India was approximately ____ urban as far back as 2015.

- (a) 45%
- (b) 52%
- (c) 58%
- (d) 63%
- (e) 70%

Correct Answer: (d)

Explanation:

Using the DEGURBA (Degree of Urbanisation) methodology, the Survey highlights India’s “hidden urbanisation”, estimating urban population at about 63% as early as 2015.

Q32. As per Economic Survey 2025–26, the Own Source Revenue (OSR) of Indian cities is disproportionately low compared to global peers. It currently stands at less than what percentage of GDP?

- (a) 0.6%
- (b) 1.0%
- (c) 1.5%
- (d) 2.2%
- (e) 3.0%

Correct Answer: (a)

Explanation:

Indian cities generate less than 0.6% of GDP as OSR, compared to 2–4% in OECD cities, leading to high fiscal dependence.

Q33. As per Economic Survey 2025–26, which factor is identified as the “binding constraint” for India’s Artificial Intelligence (AI) ambitions?

- (a) Availability of Data
- (b) Skilled Talent Pool
- (c) Compute Capacity

- (d) 5G Connectivity
- (e) Regulatory Framework

Correct Answer: (c)

Explanation:

The Survey identifies compute capacity (chips, GPUs) as the binding constraint, making India vulnerable to foreign dependencies despite having data and talent.

Q34. As per Economic Survey 2025–26, the Lowy Institute Asia Power Index assigns India a “Power Gap” score of –4.0. What does this imply?

- (a) India’s military spending is declining
- (b) India exerts less influence than its resources and size suggest
- (c) India is over-leveraged in external debt
- (d) India’s diplomatic footprint is shrinking
- (e) India is punching above its weight

Correct Answer: (b)

Explanation:

A negative power gap indicates that India is an “under-achiever” in influence relative to its material resources, according to the Index.

Q35. As per Economic Survey 2025–26, the “Namo Bharat” corridor, which is partially operational, connects which two locations?

- (a) Mumbai – Ahmedabad
- (b) Delhi – Meerut
- (c) Bangalore – Mysore
- (d) Chennai – Pondicherry
- (e) Hyderabad – Warangal

Correct Answer: (b)

Explanation:

The Delhi–Meerut RRTS (Namo Bharat) corridor is highlighted as a key urban mobility project to decongest the National Capital Region.

Q36. As per Economic Survey 2025–26, a cost of USD 22 billion per year is attributed to which urban inefficiency in four major Indian metros?

- (a) Air Pollution
- (b) Water Leakage
- (c) Traffic Congestion
- (d) Waste Mismanagement
- (e) Power Theft

Correct Answer: (c)

Explanation:

Traffic congestion in four major metros is estimated to cost USD 22 billion annually due to lost productivity and fuel wastage.

Q37. As per Economic Survey 2025–26, the document proposes the establishment of which body to oversee the ethical and economic integration of Artificial Intelligence?

- (a) AI Regulatory Authority of India
- (b) National AI Commission
- (c) AI Economic Council
- (d) Digital India AI Board
- (e) Sovereign AI Trust

Correct Answer: (c)

Explanation:

The Survey proposes setting up an AI Economic Council to balance innovation, ethics, and economic impact.

Q38. As per Economic Survey 2025–26, in the context of urban housing, the supply of affordable homes (costing < ₹50 lakh) in the top 8 cities dropped from 52% in 2018 to ____ in 2025.

- (a) 40%
- (b) 32%
- (c) 25%
- (d) 17%
- (e) 10%

Correct Answer: (d)

Explanation:

The share of affordable housing units declined sharply to 17%, reflecting a severe urban housing supply crunch.

Q39. As per Economic Survey 2025–26, the concept of “Contextual Compliance” is advocated over rigid rule-following, citing which famous book?

- (a) 1984 – George Orwell
- (b) Catch-22 – Joseph Heller
- (c) The Trial – Franz Kafka
- (d) Atlas Shrugged – Ayn Rand
- (e) Leviathan – Thomas Hobbes

Correct Answer: (b)

Explanation:

The Survey cites Joseph Heller’s Catch-22 to illustrate how rigid and contradictory rules can lead to irrational outcomes.

Q40. As per Economic Survey 2025–26, the “Ruralisation of Industry” refers to which phenomenon in India?

- (a) Agriculture contributing more to GDP than industry
- (b) Industries shifting to rural areas to avoid high urban costs
- (c) Rural youth refusing to migrate to cities
- (d) Government banning factories in cities
- (e) Services overtaking manufacturing in rural India

Correct Answer: (b)

Explanation:

Unlike global trends, Indian manufacturing has increasingly shifted to rural areas to avoid high urban land and labour costs, leading to urbanisation without industrialisation.

Q41. As per Economic Survey 2025–26, India has set a target to increase its nuclear power capacity to 100 GW by which year?

- (a) 2030
- (b) 2035
- (c) 2040
- (d) 2047
- (e) 2070

Correct Answer: (d)

Explanation:

The Survey outlines a long-term energy security roadmap targeting 100 GW of nuclear capacity by 2047, supported by reforms like the SHANTI Act.

Q42. As per Economic Survey 2025–26, the proposed India Energy Stack (IES) is likened to which existing digital success story?

- (a) Aadhaar
- (b) UPI (Unified Payments Interface)
- (c) ONDC
- (d) CoWIN
- (e) GeM

Correct Answer: (b)

Explanation:

Just as UPI standardised digital payments, the India Energy Stack aims to standardise data flow across DISCOMs, generators, and consumers.

Q43. As per Economic Survey 2025–26, retail sales of which category of food products surged nearly 40-fold between 2006 and 2019, posing a major health risk?

- (a) Organic Foods
- (b) Dairy Products
- (c) Ultra-Processed Foods (UPF)
- (d) Fortified Rice
- (e) Plant-based Meat

Correct Answer: (c)

Explanation:

The Survey flags the rapid rise of Ultra-Processed Foods (UPF) as a serious human-capital threat linked to obesity and diabetes.

Q44. As per Economic Survey 2025–26, the “Jal Hi Amrit” initiative is an example of which economic concept?

- (a) Universal Basic Income
- (b) Circular Economy (Wastewater Reuse)
- (c) Subsidy Rationalisation
- (d) Carbon Trading
- (e) Privatisation of Rivers

Correct Answer: (b)

Explanation:

“Jal Hi Amrit” promotes reuse of treated wastewater, making sewage treatment economically viable through a circular economy approach.

Q45. As per Economic Survey 2025–26, producing 1 GW of solar power is highly material-intensive and requires approximately 18.5 tonnes of which precious metal?

- (a) Gold
- (b) Silver
- (c) Platinum
- (d) Lithium
- (e) Cobalt

Correct Answer: (b)

Explanation:

The Survey highlights dependence on Silver (18.5 tonnes per GW) for solar manufacturing, underscoring critical-minerals vulnerability.

Q46. As per Economic Survey 2025–26, which state successfully piloted the use of plastic waste to construct a 5.5 km road, showcasing rural innovation?

- (a) Kerala
- (b) Sikkim
- (c) Chhattisgarh
- (d) Gujarat
- (e) Himachal Pradesh

Correct Answer: (c)

Explanation:

Chhattisgarh is cited for using plastic waste in rural road construction under PMGSY, demonstrating sustainable infrastructure practices.

Q47. As per Economic Survey 2025–26, the proposed Skill Vouchers are intended to:

- (a) Provide free laptops to students
- (b) Empower trainees to choose their training provider
- (c) Pay companies to hire apprentices
- (d) Subsidise higher-education loans
- (e) Fund foreign studies

Correct Answer: (b)

Explanation:

Skill Vouchers transfer choice and purchasing power to trainees, allowing them to select public or private training providers, thereby improving quality through competition.

Q48. As per Economic Survey 2025–26, the Panchayat Advancement Index (PAI) is introduced to promote:

- (a) Digital literacy in villages
- (b) Competitive federalism at the grassroots level
- (c) Panchayat tax collection
- (d) Selection of Sarpanches
- (e) Merging of Panchayats

Correct Answer: (b)

Explanation:

PAI aims to rank Gram Panchayats on development parameters to encourage competitive federalism at the village level.

Q49. As per Economic Survey 2025–26, Tele-MANAS is a digital initiative addressing which sector?

- (a) Rural tele-medicine for cardiac care
- (b) Mental health services
- (c) Maternity benefit tracking
- (d) Malaria surveillance
- (e) Stray animal management

Correct Answer: (b)

Explanation:

Tele-MANAS is a nationwide digital mental-health network expanded to address rising anxiety and stress levels.

Q50. As per Economic Survey 2025–26, the “Maize vs. Paddy” trade-off in agriculture highlights a conflict between:

- (a) Exports vs domestic consumption
- (b) Energy security (ethanol) vs nutritional security
- (c) Small farmers vs large corporations
- (d) Organic vs chemical farming
- (e) North vs South Indian agriculture

Correct Answer: (b)

Explanation:

Incentives for maize (ethanol/energy) are diverting land away from pulses and oilseeds, creating a policy trade-off between energy security and nutritional security.